IT Budget Transfer Kickoff

Briefing for all IT staff

November 2, 2026 | Budget Transfer Lead

First, Answers to Two Concerns

Concern 1

Are there exceptions? Does work that needs a formal procedure also move in January?

No exceptions. All budgets move at once on January 1, 2027

- No individual transfers and no cases on hold. The transfer is decided company policy
- Where the current owner is fixed in approved documents such as SOPs, rules or segregation of duties, and changing it needs a formal procedure (e.g., GxP change control), the current owner continues until the procedure is complete (interim measure)
- The budget moves even with an interim measure. That work and its planned completion are recorded in the agreement document

Concern 2

After the transfer, who does what? What happens to the departments' authority?

Accountability (A) stays with departments. Roles are agreed from a standard RACI

- IT takes over indirect work (budget management, contracts, ordering, receiving and payment) from January
- A for direct and IT-related work stays with the Business Owner. IT does not take over A
- Per case, only the R / C split on IT-related work and when IT starts taking R can change. The transferring manager approves the agreement document to finalize it (slides 6-8)

This Term's Goal

Transfer approvals (ringi) completed by the end of December

This term we aim for transfer approval by end of December. How to create value from the transfer will be considered next term.

What has been decided

Decided as company policy

- Decided by management and stated in the company-wide budgeting guidelines
- Covers all departments except Sales (including HR, General Affairs and Finance). All departments have been informed
- Scope: budgets, contracts and indirect work for business applications and related tools
- Company-wide domains such as infrastructure and security are out of scope
- Business ownership stays with the departments

Everything transfers at once

Budgets move on January 1, 2027

- There is no decision on whether to transfer
- **Bulk transfer: January 1, 2027 (all budgets)**
- Interim measure: where the current roles (Before) are fixed in approved documents or records such as SOPs, rules or segregation of duties, and changing them needs a formal procedure (e.g., GxP change control), the current owner continues until the procedure is complete
- **Even with an interim measure, the budget moves on January 1**
- Interim-measure work and its planned completion are recorded in the agreement document

Goal for end of December

Approval of the ringi. Not everything has to be finished

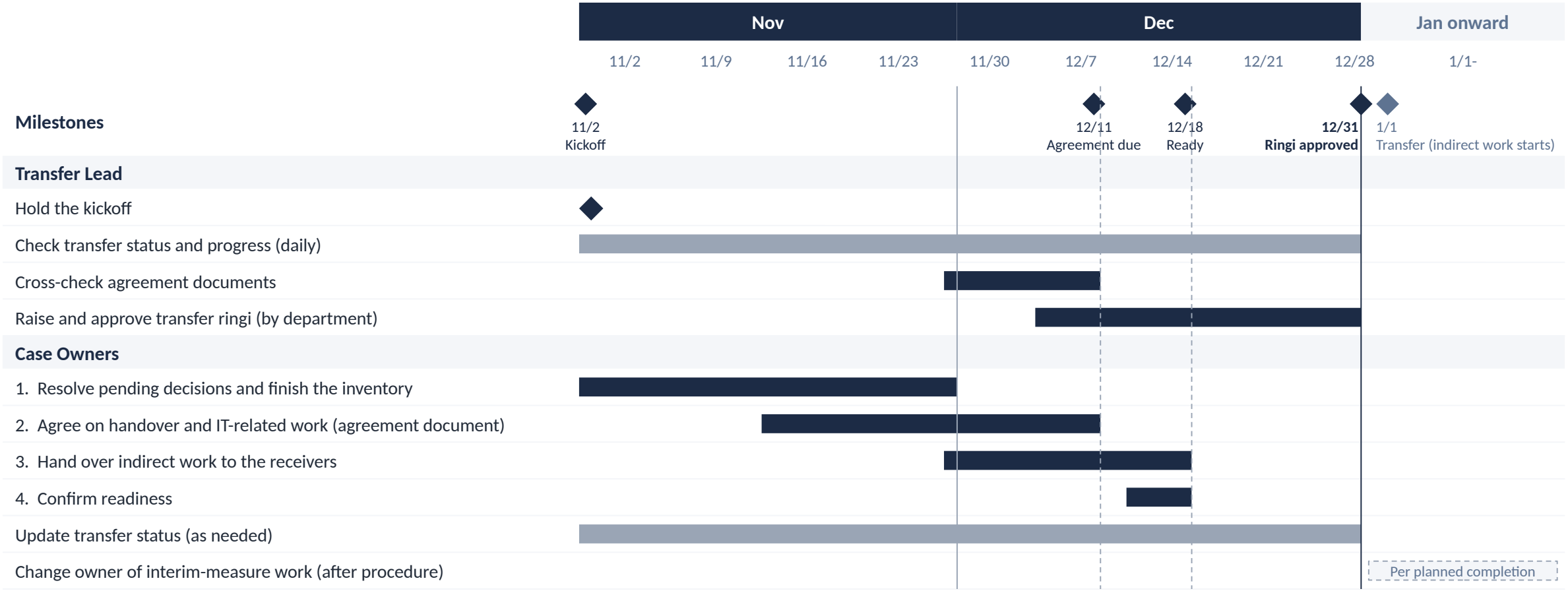
Only three prerequisites

1. Information needed for the ringi (transfer decision, next year's budget, agreement document) is organized
2. What is not yet finished (SOP revisions, change of contract signatory, etc.) is clear for each case
3. IT can start managing contracts and payments from January

No contract procedures at the time of transfer. The signatory changes to IT at the next renewal; vendors are notified of the new invoice addressee by early February

Roles from next year onward are shown on slides 6-8 for reference. For now, please focus on the budget transfer

Tasks for November-December



Transfer Lead (1 person)

Drives the whole effort. Checks transfer status daily and raises the transfer ringi once all of a department's cases have a status. Cross-checks agreement documents. Handles requests to and consultation with the Head of IT

Case Owner (usual contact)

The IT member who already acts as the business department's counterpart for the case. Does the case-level work and requests approval from the transferring manager (slide 5)

Guide for Case Owners

What to do (tasks 1-4 on slide 4)

1 Resolve pending decisions and finish the inventory — By end Nov

Confirm entries with the department contact, fill in missing inputs and clear all pending decisions

Deliverable Budget transfer sheet confirmed by the department contact (budget list, links, systems, work, contracts), with no pending decisions / Status → Inventoried

2 Agree on handover and IT-related work — By 12/11

Customize the RACI (slides 7-8) for the case, add interim measures and the handover method, and get the transferring manager's approval

Deliverable Approved agreement document (customized RACI, interim measures and planned completion, handover method; logged in the decision log) / Status → Agreed

3 Hand over indirect work to the receivers — By 12/18

Receive procedures and materials from the department and pass them to the receivers

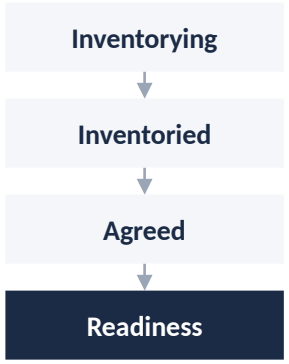
Deliverable Full set of materials handed over (contract copies, billing contacts, payment timing, unpaid invoices). For work needing an owner-change procedure (e.g., GxP), its filing and planned completion

4 Confirm readiness — By 12/18

Use the readiness checklist to confirm the agreement document, handover and filing of interim-measure procedures

Deliverable Readiness checklist record / Status → Readiness

What we ask of you



There is also "Out of scope"

- Update the transfer status in the budget transfer sheet each time its conditions are met
- Update your own row in the "Progress" sheet (task status and completion date)
- If the "Check (auto)" column shows a message, review the status (the transfer lead checks daily and will ask)
- Decisions are calculated by formula. Do not overwrite them; fix the inputs instead
- Record work whose owner is fixed in approved documents as an interim measure in the agreement document
- If you may miss a deadline, tell the transfer lead the reason and outlook early

Three Layers of Work and Roles

Indirect work transfers. IT-related work (middle layer) is agreed case by case. In every layer, final accountability (A) stays with the Business Owner

	BO Business Owner Department head. Owns the business process and the need, purpose and benefits of applications	**BU Business User** Department staff. Use the system for their work, raise requests and confirm acceptance	**SO System Owner** IT. Responsible for system availability, maintenance and security. Does not take over A
Direct work Not transferred	**A** Decides business requirements and acceptance	**R** Work using the system, organizing requirements, acceptance checks	**C** Consulted
IT-related work Middle layer. Agreed per case	**A** Decisions and approvals (not negotiable)	**R / C** Explains needs and benefits	**R** Does the hands-on work (investment: planning, quotes, application; expense: monitoring, improvement, contract review)
Indirect work Transferred (previously done by departments)	**I** Informed	**—** Not involved	**A / R** Budget management, contracts, ordering, receiving and payment (from January)

For IT-related work, customize the RACI templates on slides 7-8 per case, agree with the transferring manager and keep it as a document

RACI: IT Investment Process (Before → After)

BO: Business Owner (dept. head) BU: Business User SO: System Owner (IT) R: Responsible A: Accountable C: Consulted I: Informed

Activity	Layer	Before (current)		After (post-transfer)		
		BO	BU	BO	BU	SO
I-1 Identify issues and needs	Direct	A	R	A	R	**C**
I-2 Define business requirements	Direct	A	R	A	R	**C**
I-3 Evaluate solutions (system approach, fit with existing systems)	**IT-rel.**	A	R	A	**C**	**R**
I-4 Gather vendor information and quotes	**IT-rel.**	A	R	A	**C**	**R**
I-5 Estimate benefits and costs (BU: benefits, SO: costs)	**IT-rel.**	A	R	A	R	**R**
I-6 Prepare budget request and investment application	**IT-rel.**	A	R	A	**C**	**R**
I-7 Approve the investment	—	A	R	**Approver (under review in new IT governance tiers)**		
I-8 Select vendor	**IT-rel.**	A	R	A	**C**	**R**
I-9 Conclude contract	Indirect	A	R	**I**		**A/R**
I-10 Ordering, receiving and payment	Indirect	A	R			**A/R**
I-11 Run the project (progress, quality)	**IT-rel.**	A	R	A	R	**R**
I-12 Acceptance (meets business requirements?)	Direct	A	R	A	R	**C**
I-13 Review benefits (post-implementation)	**IT-rel.**	A	R	A	R	**C**

- Before: the business side does the work alone (one pattern in this first version). If a case's actual Before differs, rewrite it before comparing
- After: IT becomes more involved; A for direct and IT-related work stays with the BO. Shaded cells change from Before (blank means no longer involved)
- Per-case customization: only the R / C split between BU and SO on IT-related rows, and when SO takes on R, may change. The A column and the direct/indirect rows are fixed

RACI: Expense Process (Before → After)

BO: Business Owner (dept. head) BU: Business User SO: System Owner (IT) R: Responsible A: Accountable C: Consulted I: Informed

Activity	Layer	Before (current)		After (post-transfer)		
		BO	BU	BO	BU	SO
E-1 Work using the system	Direct	A	R	A	R	
E-2 Department-run operations (user and access management)	Direct	A	R	A	R	**C**
E-3 Budget planning and spend control	Indirect	A	R	**I**		**A/R**
E-4 Contract renewal, change and termination procedures	Indirect	A	R	**C**		**A/R**
E-5 Receive and pay invoices	Indirect	A	R			**A/R**
E-6 Instruct vendors and receive reports (contract management)	Indirect	A	R			**A/R**
E-7 Monitor operations (SLA, incidents, usage)	**IT-rel.**	A	R	A	**C**	**R**
E-8 Improvement (BU: requests, SO: triage and delivery)	**IT-rel.**	A	R	A	R	**R**
E-9 Contract review (usage, license count, alternatives, renewal decision)	**IT-rel.**	A	R	A	**C**	**R**
E-10 Evaluate vendors	**IT-rel.**	A	R	A	**C**	**R**
E-11 GxP change control	**IT-rel.**	A	R	A	R	**R**

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- Per-case customization: only the R / C split between BU and SO on IT-related rows, and when SO takes on R, may change. The A column and the direct/indirect rows are fixed
- E-11 normally also requires Quality Assurance involvement (omitted in this table)

Proposal: hold the IT budget "split"

Not "business or IT". Money, contracts and paperwork go to IT; accountability (A) for the business stays with the business. Four conditions make it work

1. Why separate budget and accountability

Money flows through IT; business decisions stay with the business

- IT holds budget, contracts and indirect work: to control impact on shared foundations, gain negotiating power with vendors, remove duplication and make IT spend visible company-wide
- Only the business can judge the need, requirements and acceptance of a business application. A stays with the business (process owner principle)
- The question is not "who holds the budget" but "who holds what"

2. Who allocates

The company sets the envelope; the business sets priorities within it

- Department envelopes and investment approval are decided by the new IT governance (Tier)
- Within the envelope, the business owner (BO) decides which cases come first
- IT (SO) assesses cost and fit with existing systems and may object. If no agreement, escalate to Tier (IT does not block on its own)

3. Keeping cost awareness

Departments no longer pay, but they still see what they use

- Show transferred costs by department and case every period (unit prices and breakdown)
- Return part of the savings to the department (ratio TBD)
- Decide on allocation or chargeback after one year of actuals

4. Deadline for the middle layer

Move R for IT-related work to IT by a set date

- Cap when SO starts taking R (e.g. next contract renewal, end of FY2027 at the latest)
- Work left as Before past the cap needs a reason in the agreement document; the lead checks all cases side by side
- Without a cap, only the books and paperwork move and the control objective is not met